



Amazon

Buy

ANALYSIS

Complete

SOURCES

Multiple

VERIFIED

No

RECOMMENDATION

Buy

Stock Price (30 Days)

255

250

245

240

235

230

225



220



Performance Trend



Chart visualization

Recommendation

At today's context (last close ~\$221 on Nov 21, 2025), Amazon's risk/reward looks favorable for long-term investors. Street consensus implies roughly 30–35% 12-month upside, underpinned by re-accelerating AWS growth/margins and expanding high-margin Advertising, while retail margins continue to recover. The key near-term trade-off is very heavy capex (2025E ~\$125B) compressing free cash flow and the ongoing regulatory overhang. If you accept higher volatility and near-term FCF pressure in exchange for AI/cloud and ads optionality, AMZN screens as a buy; otherwise, wait for clearer capex and margin visibility.

Amazon (AMZN): Is it a good buy now?

Executive summary

- Street setup is constructive: Consensus 12-month price target ~\$295 (TipRanks/MarketBeat), implying ~~33% upside from the Nov 21, 2025~~

~~close (\$220.69)~~, with a Strong Buy/Buy skew across 40–60+ analysts (TipRanks; MarketBeat). [tipranks.com; marketbeat.com]

- Fundamentals inflecting where it matters: AWS posted ~20% y/y growth to ~\$33B revenue in Q3'25 with ~35% implied operating margin, and Ads grew ~24% y/y to \$17.7B in the quarter—both high-margin engines supporting consolidated margin expansion. [ir.aboutamazon.com; aboutamazon.com]
- Valuation reasonable versus large-cap tech peers: AMZN trades around ~~28x NTM P/E and ~15–16x TTM EV/EBITDA—below MSFT/GOOGL on EV/EBITDA and broadly in-line on forward P/E/PEG (1.5–2.0).~~
[finance.yahoo.com; gurufocus.com; valueinvesting.io; multiples.vc]
- The key near-term cost of the story is capex: 2025E capex guided to roughly \$125B with 2026 likely higher, compressing TTM free cash flow to ~\$14.8B despite TTM operating cash flow of ~\$130.7B.
[ir.aboutamazon.com]
- Material but manageable risks: Regulatory actions (FTC \$2.5B settlement; EU DSA “VLOP” obligations), potential AWS share/margin pressure vs. Azure/Google, tariff and retail competitive intensity, and high realized volatility (~35%) and beta (>1.3). [reuters.com; canalys.com; trefis.com; wallstreetnumbers.com]
- Bottom line: For multi-year investors comfortable with elevated capex/volatility, AMZN's AI-driven AWS cycle and Ads monetization argue for a Buy. For shorter horizons or FCF-centric mandates, patience until capex cadence/returns normalize could be warranted.

What's working (and why)

1. AWS re-acceleration and profitability

- Q3'25 AWS revenue was ~~\$33.0B~~ (+20% y/y), the fastest since 2022, with ~~35% implied operating margin~~ (\$11.4B operating income), driven by AI demand (Trainium2, new EC2, Project Rainier) and utilization gains.
[ir.aboutamazon.com; aboutamazon.com]
- Industry context: AWS holds ~32% share (Q1'25) in a cloud market growing ~20%+ y/y; Azure and GCP grew faster in early 2025,

highlighting a competitive but expanding pie. Sustained 20%+ growth would be a powerful re-rating catalyst for AMZN given AWS's profit share. [canalys.com]

2. Advertising as a durable, high-margin lever

- Ads revenue reached \$17.703B in Q3'25 (+~24% y/y). Independent estimates peg ad-like operating margins at ~30–40% (Amazon doesn't disclose Ads EBIT), implying outsized contribution to consolidated profitability. [ir.aboutamazon.com; stratably.com]
- Prime Video ads add optionality, with forecasts ranging widely (~\$0.8B–\$5.9B in 2025), reflecting uncertainty in ad load, pricing, and rollout—but even modest increments can materially lift margins. [tvtechnology.com; investing.com]

3. Retail margin recovery and logistics efficiency

- Q3'25 implied segment margins: North America ~4.5%, International ~2.9%. Analysts continue to model improvement via network regionalization, automation/robotics, and cost discipline—small retail margin gains compound meaningfully at Amazon's scale. [aboutamazon.com; thestreet.com]

Financials and valuation snapshot

- Q3'25 company results: Net sales \$180.2B (+13% y/y). Reported operating income \$17.4B included ~\$2.5B FTC settlement and ~\$1.8B severance; excluding those, operating income would be ~\$21.7B. Net income \$21.2B and EPS \$1.95 included a \$9.5B pre-tax gain from Anthropic investments. [ir.aboutamazon.com]
- Cash flow and capex: TTM operating cash flow ~\$130.7B vs. TTM free cash flow ~\$14.8B as AMZN ramps AI/data center and fulfillment investments; Q3 cash capex ~\$34.2B; YTD ~\$89.9B; 2025E capex ~\$125B (likely higher in 2026). Historical capex/OCF mix has risen materially vs. 2019–2023. [ir.aboutamazon.com; sec.gov; content.edgar-online.com]

- Valuation: NTM P/E ~28x; TTM EV/EBITDA ~15–16x. Versus mega-cap peers, AMZN screens cheaper on EV/EBITDA (MSFT ~21x; GOOGL mid-20s) and similar on forward P/E. PEG around ~1.9 is consistent with AI/cloud peers. [finance.yahoo.com; valueinvesting.io; multiples.vc; gurufocus.com]
- Street view: Consensus target ~\$295 (high ~\$340/low ~\$250) and Strong Buy bias. Recent bank moves include Morgan Stanley to \$315 (Overweight) and Goldman Sachs to \$290 (Buy), citing AWS acceleration and Ads/retail margin leverage; JPM maintained Overweight, to \$240 (Jun 2025). [tipranks.com; marketbeat.com; investing.com]

Catalysts to watch (next 6–12 months)

- AWS: Sustain 20%+ growth and mid-30s margins; customer adoption of Bedrock/Trainium; capacity additions translating into revenue mix shift toward AI/ML workloads. [ir.aboutamazon.com]
- Ads: Prime Video monetization ramp, ad yield improvements, and continued double-digit ads growth supporting retail margins. [ir.aboutamazon.com; tvtechnology.com; investing.com]
- Retail margins: Evidence of ongoing improvement in NA/International from network regionalization and automation. [aboutamazon.com; thestreet.com]
- Capex cadence vs. ROI: Visibility on 2026 capex peak and returns; any signs of capex moderation or rising OCF conversion should support multiple expansion. [ir.aboutamazon.com]
- Macro/holiday data: Online spending trends and Prime Day outcomes that feed GMV and ad demand. [news.adobe.com; reuters.com]

Key risks and how they could derail the thesis

- Regulatory/legal overhang: FTC settlement (\$2.5B) is done, but antitrust actions and EU DSA “VLOP” obligations continue; EU penalties can reach up to 10% of global revenue for serious breaches. Remedies or added compliance costs could hit marketplace/ad economics and weigh on multiples. [reuters.com; dw.com; law.justia.com]

- AWS competitive pressure: Azure and GCP have grown faster at points in 2025; persistent share loss or pricing pressure would compress Amazon's consolidated margins and valuation upside. [canalys.com]
- Heavy capex compressing FCF: 2025–2026 investment cycle (AI/data centers/logistics) keeps FCF tight, limiting buyback capacity and increasing sensitivity to macro/segment shocks. [ir.aboutamazon.com]
- Retail/tariff pressures and competition: Tariffs, wage/shipping costs, and competition (e.g., Temu/Shein) can squeeze retail margins. [investopedia.com]
- Stock risk profile: Realized volatility ~35% and beta >1.3 imply higher dispersion of returns vs. the market. [trefis.com; wallstreetnumbers.com]

Street sentiment and context

- Consensus targets cluster around the high-\$200s with some upside outliers (e.g., Wedbush ~\$340, Stifel ~\$295 post-Q3). Morgan Stanley and Goldman Sachs lifted targets on Oct 31, 2025, citing AWS acceleration, ads, and operating leverage. [tipranks.com; investing.com]
- Market reaction framing: Several shops frame upside scenarios in the ~20–45% range contingent on AWS/ads outperformance and retail margin lift. [investopedia.com]

Bottom line

- If your horizon is 12–24+ months and you can tolerate near-term FCF compression and regulatory noise, AMZN's combination of an accelerating, high-margin AWS, a large and fast-growing Ads business, and improving retail efficiency supports a Buy view with identifiable catalysts and a supportive Street setup. Near-term traders or FCF-focused mandates may prefer to wait for clearer capex/ROI visibility.

What to monitor

- AWS: quarterly revenue growth and operating margin; AI/ML mix; capacity additions and utilization. [ir.aboutamazon.com]

- Ads: quarterly growth, Prime Video ad rollout/ARPU, and any disclosure on ad economics. [ir.aboutamazon.com; investing.com]
- Retail: segment margins (NA/International) and commentary on network/automation gains. [aboutamazon.com]
- Cash returns vs. capex: trajectory of TTM FCF, capex guidance, and any shift in buyback cadence. [ir.aboutamazon.com; sec.gov]
- Regulatory milestones: EU DMA/DSA compliance updates and U.S. antitrust case developments. [reuters.com; dw.com]

Disclosures and notes

- Figures reflect Amazon's Q3'25 materials and third-party sources cited inline. Amazon does not separately disclose Ads operating income; margin estimates referenced are based on external analyses. Past performance and third-party estimates may change. This is not investment advice; consider your objectives and constraints.

Follow-up Questions

What is your time horizon and risk tolerance (e.g., 6–12 months vs. multi-year)?

Would you like a 3-scenario valuation (bull/base/bear) using SOTP or DCF to quantify upside/downside and bridge to the ~\$295 consensus?

Should I build an AWS/Ads sensitivity (e.g., AWS margin 30–42%, Ads margin 30–40%) to show consolidated EBIT/FCF impacts?

Do you want a live reconciliation of consensus (Visible Alpha/Bloomberg/Refinitiv) and recent target changes from key brokers?

Would you like me to track and summarize regulatory milestones (FTC/EU DMA/DSA) and quantify potential P&L/cash impacts under downside cases?

Should I add a quarterly dashboard to monitor AWS growth/margins, Ads momentum, retail margins, capex, and FCF?

Do you want a peer-set comparison versus MSFT/GOOGL/META across growth, margins, and valuation to inform relative allocation?

Would a near-term entry plan (e.g., staged buys or buy-on-pullback rules with stop-loss levels) be helpful, acknowledging your portfolio guidelines?

Verification

⚠ Verification Issues Found

Verification process timed out. The agent was unable to complete the fact-checking within the time limit.